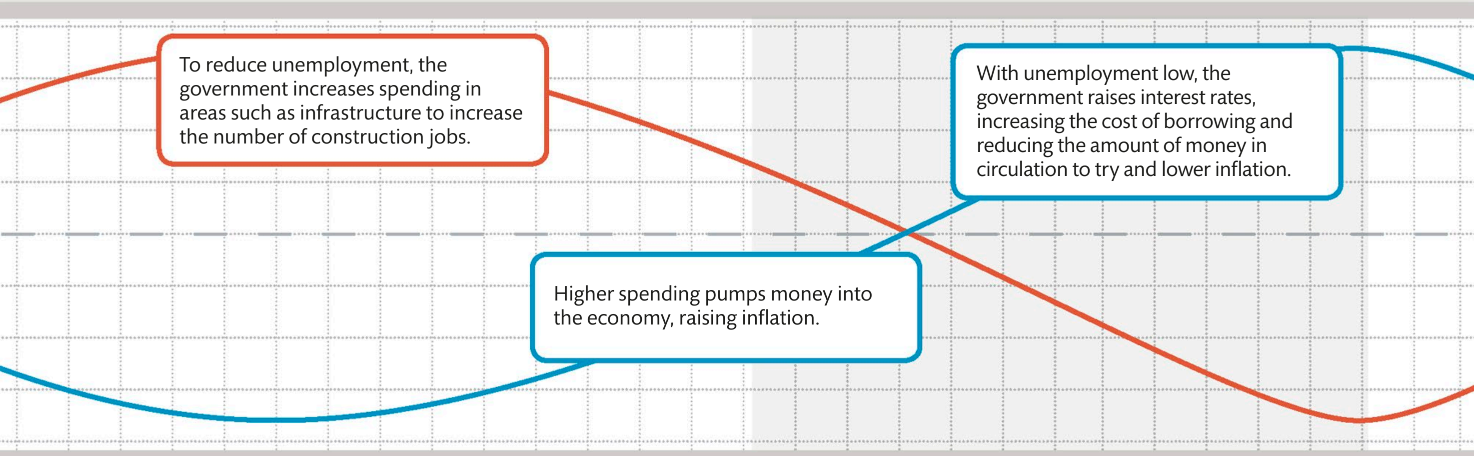
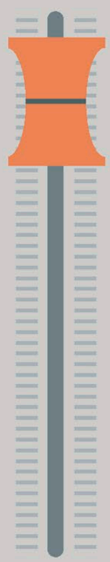
How it works

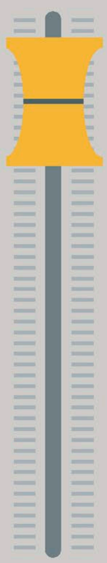
Economic policy-making has been compared to trying to operate a finely balanced machine. By adjusting various policy "dials", the government aims for the best combination of key economic variables – usually, a combination of low inflation and unemployment levels. However, economists point to a trade-off between inflation and unemployment, with low unemployment coming at the cost of high inflation, and vice versa. More recently, economists have concluded that economies run best by themselves, with institutions such as central banks controlling monetary policy, while the state concentrates on "supply-side policies" such as making markets more efficient.

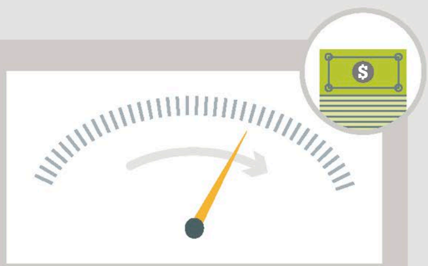




Increasing spending

When the economy slows down and there is a risk of a rising rate of unemployment, the government can try to stimulate the economy through increasing spending. By encouraging public spending, the state increases the likelihood of firms employing more people to meet the extra demand. Cutting spending has the opposite effect.





Raising interest rates

The government, by setting its inflation targets, directs the central bank to change the base rate, which in turn influences interest rates. When rates rise, borrowing costs becomes more expensive, people spend less money, and businesses may feel they need to reduce their prices, so lowering inflation. Cutting rates has the opposite effect.